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Exchange-Traded Funds (ETFs)

An ETF is a security that tracks an index, a commodity, or a basket of assets like an index fund, but trades like a stock on an exchange. ETFs experience price changes throughout the day and are sold on the secondary market like individual stocks, so that the purchase price might be at, above, or below its NAV (Net Asset Value) depending on the number of buyers and sellers interested in the particular ETF. Therefore, a buyer of an ETF will have to pay a commission much like the purchase of an individual stock.

Both mutual funds and ETFs give the purchaser the ability to diversify and take on additional risk with the added security of professional management.